

Microsoft Corp. Q2 FY26 Earnings Call Transcript

Executive Prepared Remarks

Microsoft Executive VP & CFO, Amy Hood: We are pleased to report strong performance. For the upcoming fiscal third quarter, we expect Q3 Revenue Guidance to be between \$50.0B and \$51.0B, driven by enterprise cloud renewals. We target an operating margin of 43.0% for the third quarter.

Q2 Historical Financials Table

Financial Metric	Q2 Actuals	Q1 Actuals	Q2 YoY Change
Revenue	\$49.5B	\$48.0B	+8.5%
Net Income	\$15.4B	\$14.8B	+6.0%
Operating Margin	42.5%	42.0%	+0.5%

Q&A; Session Summary

Analyst: Can you expand on cloud growth expectations? Amy Hood: Cloud revenue continues to accelerate. We anticipate Microsoft Cloud revenue to hit \$25.0B in Q3, representing 50% of our guided mid-point revenue of \$50.5B.